

May 28, 2026 06:45 PM GMT

MediaTek | Asia Pacific

Taiwan AI Summit 2026 Key Takeaways: From Cloud to Edge

MediaTek remains our Top Pick given its strong technology and execution in Cloud AI ASIC design services. Edge AI also has strong potential.

What’s new? MediaTek co-COO and CFO Mr. David Ku joined our inaugural AI Summit to outline the company’s future AI semi strategy. Management views AI as ubiquitous and plans to pursue a Cloud-to-Edge strategy to capture the opportunity. We also joined a large-group IR meeting for near-term updates.

Cloud AI: ASIC business development

- Management reiterated that MediaTek plans to keep adding customer value and differentiating by technology to avoid ASIC commoditization under the COT (customer-owned tooling) trend. MediaTek believes Cloud AI ASIC operating margin can stay above the corporate average.
- Regarding “full system rack support” for Google TPU, management clarified that MediaTek’s system integration is through chiplet and interconnect technology, not rack systems or networking design.
- For agentic AI compute, MediaTek plans to participate in PC/server CPU opportunities through merchant or ASIC design services. The prior NVIDIA GB10 AI edge server is an example.
- The company doesn’t think major ASIC designs are limited to either training or inference purposes. We therefore see volume upside for MediaTek’s TPU v8 (ZebraFish) and v9 (HumuFish) vs. Street consensus which reflects MediaTek ASIC being used only for AI training.
- After securing the 2nm ASIC (should be TPU v9), the company is bidding for the next-generation project (which we think should be TPU v10 IceFish; see our 25 May 2026 report, [MediaTek: “Target Price Up” report](#)). We therefore see multi-year growth through 2030 (IceFish revenue contribution in 2029 and 2030).
- MediaTek said it has received several CSP RFQs and hopes to add one more CSP customer by end-2026 (besides Google).

Edge AI: Smartphone and automotive business

- The company said its future growth is “in addition” to smartphone, while smartphone should continue to grow with edge compute. The company doesn’t rule out AI service providers reaching out to MediaTek for future AI phones, given MediaTek’s strong turnkey capability.
- Management sees growth potential in Automotive.

Stay OW, maintain Top Pick: This reflects the company's strong technology and execution in Cloud AI ASIC design services. Edge AI also has strong potential.

MORGAN STANLEY TAIWAN LIMITED+	
Charlie Chan	
Equity Analyst	
Charlie.Chan@morganstanley.com	+886 2 2730-1725
Daniel Yen, CFA	
Equity Analyst	
Daniel.Yen@morganstanley.com	+886 2 2730-2863
MORGAN STANLEY ASIA LIMITED+	
Daisy Dai, CFA	
Equity Analyst	
Daisy.Dai@morganstanley.com	+852 2848-7310
MORGAN STANLEY TAIWAN LIMITED+	
Tiffany Yeh	
Equity Analyst	
Tiffany.Yeh@morganstanley.com	+886 2 7712-3032
Lucas Wang	
Research Associate	
Lucas.Wang@morganstanley.com	+886 2 2730-2875

MediaTek (2454.TW, 2454 TT)
Top Pick

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$5,088.00
Up/downside to price target (%)	15
Shr price, close (May 28, 2026)	NT\$4,410.00
52-Week Range	NT\$4,690.00-1,130.00
Sh out, dil, curr (mn)	1,565
Mkt cap, curr (mn)	NT\$6,902,465
EV, curr (mn)	NT\$6,686,936
Avg daily trading value (mn)	NT\$14,849

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	62.79	70.02	133.72	280.59
EPS (NT\$)§	66.05	65.60	117.21	204.18
Revenue, net (NT\$ bn)	596.0	655.9	1,026.4	1,920.7
ModelWare net inc (NT\$ bn)	99.9	111.5	213.0	446.9
ROE (%)	24.7	27.3	44.4	65.9
Div yld (%)	15.7	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Strong AI ASIC upside in 2028 from 2nm TPU

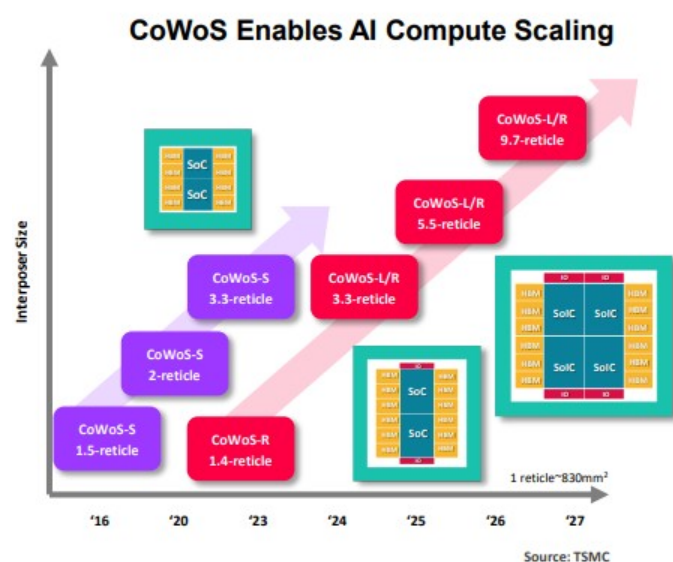
2nm TPU to adopt dual sourcing – both TSMC CoWoS-L and Intel EMIB

TSMC's CoWoS (Chip-on-Wafer-on-Substrate) is the industry's leading 2.5D packaging solution, particularly for AI and HPC applications. Its key advantage lies in the use of a high-density interposer or RDL layer, which enables extremely wide, low-latency connections between logic dies and HBM stacks. This makes it well suited for bandwidth-intensive workloads such as GPUs and AI accelerators.

However, these benefits come at a cost: CoWoS – particularly the silicon interposer/bridge – is expensive, capacity-constrained, and subject to yield challenges, including potential warpage issues at larger chip sizes. Cost and manufacturing complexity remain key trade-offs. As a result, we see TSMC's CoWoS roadmap supporting only up to ~9.7x reticle size, which does not appear sufficient for future AI or HPC chip designs.

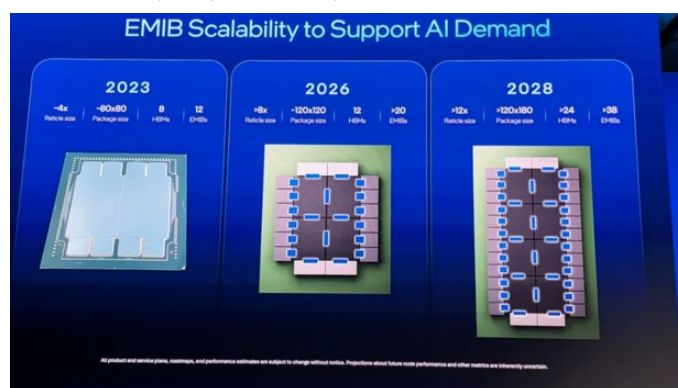
We expect MediaTek to secure a portion of CoWoS capacity for 2nm TPU to ensure minimum volume production, but we believe it will use Intel's (covered by Joseph Moore) EMIB-T as the primary solution to reduce costs and scale volume in 2028, if execution proceeds well.

Exhibit 1: TSMC's roadmap for interposer size



Source: Winway, TSMC

Exhibit 2: Intel's EMIB can easily support larger chips with more reticles (>12x) if its supply chain execution proceeds well



Margin trend and full-rack system support. In response to our question on providing full-rack support during its earnings call (referencing recent [Broadcom-Google collaboration](#)), MediaTek indicated it is in discussions with the customer. Management expects any full-rack system design support to materialize after 2027.

On margin trends, management highlighted continued value addition to the customer across both silicon and packaging design. As a result, ASIC should remain accretive to operating margins

Google 2nm TPU the major growth driver for MediaTek from 2028

On April 22, Google introduced TPU v8 at Google Cloud Next, featuring two purpose-built architectures for training and inference: TPU 8t and TPU 8i. Our recent supply chain checks across multiple companies on reticle size confirm that MediaTek's 3nm TPU 8 corresponds to TPU 8t. This supports our view that MediaTek's TPU performance should be sufficient for AI training.

According to Google's announcement, "both chips will be generally available later this year and can be used as part of Google's AI Hypercompute," in line with MediaTek's guidance that AI ASIC will contribute ~US\$2bn of revenue in 2026 (we now assume 450-500k units at a US\$4,500 ASP).

In addition, our recent checks suggest that ASP for the next-generation 2nm Humufish TPU, supported by MediaTek, could exceed our prior expectations, driven by an increased number of main dies. For Humufish, checks across multiple sources indicate the number of main dies per chip could significantly exceed Zebrafish (one compute die with one I/O die). Combined with a SerDes upgrade and larger packaging size, we estimate ASP at US\$12-15k (we now model US\$13k).

At the gross margin level, management indicated margins vary by project, which may also reflect potential full-rack system support. We model 2nm TPU gross margin at c.35% (vs. c.40% for 3nm TPU) given larger revenue scale, while we still expect operating margin at ~20-25%, above the smartphone BU's 15-20%.

Exhibit 3: Our supply chain-based Asia Google TPU volume forecasts

k Units	2023	2024	2025e	2026e	2027e	2028e
v5	500	2,400	250			
v6 (Trillium)			1,000			
v7 (Ironwood, by Broadcom)			500	2,300	500	
v8i (Sunfish; 3nm, by Broadcom)				900	3,000	2,500
v8t (Zebrafish; 3nm, by MediaTek)				500	2,500	1,000
v9 (Humufish; 2nm, by MediaTek)					150	2,500
v9a (Merope; 2nm, by US design service)						unknown
v10 (Icefish; 1.4nm, by MediaTek)						unknown
Total	500	2,400	1,750	3,700	6,150	>6000

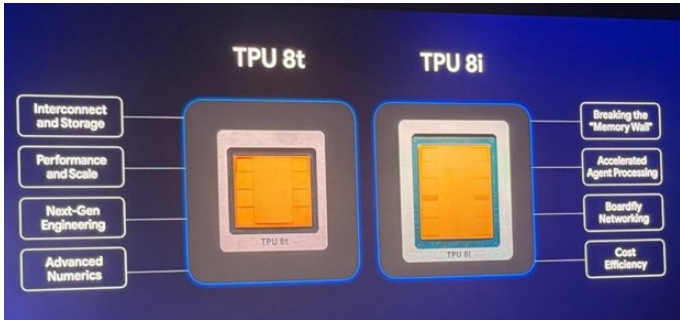
Source: Morgan Stanley Research (e) estimates

Exhibit 4: TPU 8t and TPU 8i at a glance

Feature	TPU 8t	TPU 8i
Primary Workload	Large-scale pre-training	Sampling, serving, and reasoning
Network Topology	3D torus	Boardfly
Specialized Chip Features	SparseCore (Embeddings) & LLM Decoder Engine	CAE (Collectives Acceleration Engine)
HBM Capacity	216 GB	288 GB
On-Chip SRAM (Vmem)	128 MB	384 MB
Peak FP4 PFLOPs	12.6	10.1
HBM Bandwidth	6,528 GB/s	8,601 GB/s (~1.3x of TPU 8t)
CPU Header	Arm Axion	Arm Axion

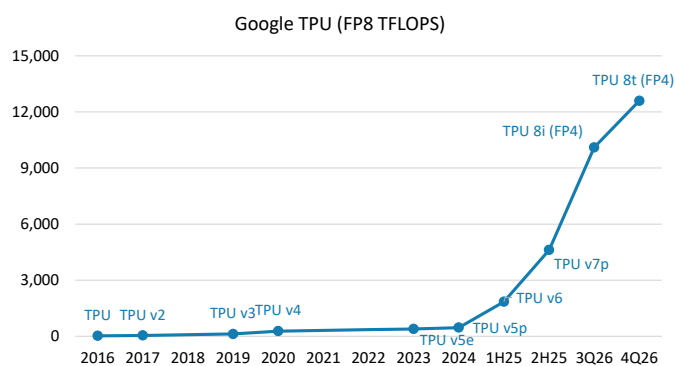
Source: Google

Exhibit 6: MediaTek TPU could be used for training purposes (v8t) given its smaller chip size vs. Broadcom TPU



Source: Google

Exhibit 5: Performance of Google TPU by generation



Source: Google, Morgan Stanley Research; Note: TPU prior than TPU v7, performance is based on FP8

Android AI agent phones as an emerging trend from Google I/O

Android AI agent phones – a trend to watch: Google is actively rolling out AI agents on Android phones, starting with Galaxy S26 and Pixel 10 in early 2026. These agents can perform multi-step tasks across apps – for example, ordering food, organizing notes, or creating calendar events through direct interaction with app UIs. Over time, we expect broader adoption across the Android ecosystem. Token consumption and cost remain key constraints for agentic AI, and we believe on-device computing on edge devices such as smartphones will help alleviate part of this cost burden.

Google I/O 2026 – Gemini evolves into an Agentic platform: At Google I/O 2026, Google repositioned Gemini from a chatbot to a proactive AI “personal agent” capable of autonomously handling tasks across apps and services. Google introduced several new technologies, including Gemini Spark – a persistent assistant operating in the background across Workspace tools – Gemini 3.5 Flash for faster real-time interaction, and Gemini Omni for advanced multimodal capabilities spanning text, audio, images, and video. The company also announced AI-driven changes to Google Search and deeper Gemini integration across Android, YouTube, shopping, and future XR devices, signaling a broader push to embed AI as a continuously available assistant that manages workflows and automates user tasks. We believe the agentic AI replacement cycle could start in 2027 from high-end Android phones – another option value on MediaTek.

Exhibit 7: Gemini transforms into 'agentic' platform



Source: Google

Exhibit 8: MediaTek: Quarterly financials

(NT\$ mn)	1Q26e	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2024	2025	2026e	2027e	2028e
Total revenues	149,151	142,588	148,427	215,741	211,228	227,348	272,582	315,195	530,586	595,966	655,906	1,026,353	1,920,744
Q/Q Change	-0.7%	-4.4%	4.1%	45.4%	-2.1%	7.6%	19.9%	15.6%					
Y/Y Change	-2.7%	-5.2%	4.5%	43.6%	41.6%	59.4%	83.6%	46.1%	22.4%	12.3%	10.1%	56.5%	87.1%
Cost of Sales	80,095	77,309	81,242	121,016	120,564	130,356	157,794	182,832	267,200	312,886	359,662	591,547	1,176,869
Percent of Revenues	53.7%	54.2%	54.7%	56.1%	57.1%	57.3%	57.9%	58.0%	50.4%	52.5%	54.8%	57.6%	61.3%
Gross Profit	69,055	65,279	67,185	94,724	90,664	96,992	114,788	132,362	263,386	283,080	296,244	434,806	743,875
Gross Margin	46.3%	45.8%	45.3%	43.9%	42.9%	42.7%	42.1%	42.0%	49.6%	47.5%	45.2%	42.4%	38.7%
Incremental Margin	NM	NM	33%	41%	NM	39%	39%	41%	58%	30%	22%	37%	35%
Total Opex	46,165	44,414	44,660	46,543	47,731	48,434	50,065	51,530	160,974	179,610	181,783	197,759	230,009
Percent of Revenues	31.0%	31.1%	30.1%	21.6%	22.6%	21.3%	18.4%	16.3%	30.3%	30.1%	27.7%	19.3%	12.0%
R&D	38,345	38,195	38,245	38,345	39,550	39,750	39,950	40,150	131,993	148,306	153,130	159,400	168,090
Percent of Revenues	25.7%	26.8%	25.8%	17.8%	18.7%	17.5%	14.7%	12.7%	24.9%	24.9%	23.3%	15.5%	8.8%
General & Adm Exp.	2,805	2,655	2,705	2,805	2,900	3,000	3,300	3,500	11,891	10,856	10,969	12,700	13,900
Percent of Revenues	1.9%	1.9%	1.8%	1.3%	1.4%	1.3%	1.2%	1.1%	2.2%	1.8%	1.7%	1.2%	0.7%
Selling Expenses	5,015	3,565	3,711	5,394	5,281	5,684	6,815	7,880	17,090	20,448	17,684	25,659	48,019
Percent of Revenues	3.4%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	3.2%	3.4%	2.7%	2.5%	2.5%
Operating Income	22,891	20,865	22,525	48,181	42,933	48,558	64,723	80,832	102,412	103,470	114,462	237,047	513,867
Operating Margin	15.3%	14.6%	15.2%	22.3%	20.3%	21.4%	23.7%	25.6%	19.3%	17.4%	17.5%	23.1%	26.8%
Total Non-operating Income (loss)	3,849	4,050	4,050	4,050	3,750	3,750	3,750	3,750	17,107	16,047	15,999	15,000	15,000
Profit Before Taxes	26,740	24,915	26,575	52,231	46,683	52,308	68,473	84,582	119,519	119,517	130,461	252,047	528,867
Percent of Revenues	17.9%	17.5%	17.9%	24.2%	22.1%	23.0%	25.1%	26.8%	22.5%	20.1%	19.9%	24.6%	27.5%
Change vs Year Ago	-23%	-25%	2%	103%	75%	110%	158%	62%	37.7%	0.0%	9.2%	93.2%	109.8%
Taxes	2,643	3,862	4,119	8,096	7,236	8,108	10,613	13,110	12,378	18,770	18,720	39,067	81,974
Tax Rate	9.9%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	10.4%	15.7%	14.3%	15.5%	15.5%
Minor interest	222	0	0	0	0	0	0	0	754	798	222	0	0
Total Net Income to Parent	23,874	21,053	22,456	44,135	39,447	44,200	57,860	71,472	106,387	99,948	111,518	212,980	446,892
Percent of Revenues	16.0%	14.8%	15.1%	20.5%	18.7%	19.4%	21.2%	22.7%	20.1%	16.8%	17.0%	20.8%	23.3%
Change vs Year Ago	-18.6%	-24.4%	5.4%	105.5%	65.2%	109.9%	157.7%	61.9%	38.2%	-6.1%	11.6%	91.0%	109.8%
Reported Basic EPS (NT\$, TW GAAP)	14.99	13.22	14.10	27.71	24.77	27.75	36.33	44.88	66.93	62.79	70.02	133.72	280.59
Reported Diluted EPS (NT\$, TW GAAP)	14.97	13.20	14.08	27.68	24.74	27.72	36.29	44.83	66.81	62.70	69.94	133.58	280.28

Source: Company data, Morgan Stanley Research (e) estimates

MediaTek: Financial Summary

Income Statement

NT\$m (Years End Dec)	2024	2025	2026e	2027e	2028e
Net sales	530,586	595,966	655,906	1,026,353	1,920,744
COGS	(267,200)	(312,886)	(359,662)	(591,547)	(1,176,869)
Gross profit	263,386	283,080	296,244	434,806	743,875
Operating expenses	(160,974)	(179,610)	(181,783)	(197,759)	(230,009)
Operating income	102,412	103,470	114,462	237,047	513,867
Non-operating income	17,107	16,047	15,999	15,000	15,000
Pre-tax income	119,519	119,517	130,461	252,047	528,867
Income tax	(12,378)	(18,770)	(18,720)	(39,067)	(81,974)
Net income (excl. emp. bonus)	133,925	125,933	139,676	266,225	558,615
Employee Bonus Expense	26,785	25,187	27,935	53,245	111,723
Net income (incl. emp. bonus)	106,387	99,948	111,518	212,980	446,892
Adj. wtd. avg. shrs (m)	1,589	1,592	1,593	1,593	1,593
Reported EPS (NT\$)	66.93	62.79	70.02	133.72	280.59
Diluted EPS (NT\$)	66.81	62.70	69.94	133.58	280.28
EPS for Consensus (NT\$)	66.81	62.70	69.94	133.58	280.28

Cash Flow Statement

NT\$m (Years End Dec)	2024	2025	2026e	2027e	2028e
Cash flow from Operations	156,055	162,793	30,569	180,519	326,301
Net profits	106,385	99,948	111,518	212,980	446,892
Depreciation	20,936	22,974	23,808	24,641	25,474
Equity investment losses (income)	(517)	(785)	0	0	0
Other adjustments	29,251	40,655	(104,758)	(57,102)	(146,065)
Cash flow from Investing	(35,928)	(37,754)	(69,831)	(107,690)	(252,931)
Capex	(13,787)	(15,059)	(5,000)	(5,000)	(5,000)
Change of LT Investment	(14,226)	(9,851)	0	0	0
Change of ST Investment	283	(69)	0	0	0
Other adjustments	(8,198)	(12,775)	(64,831)	(102,690)	(247,931)
Cash flow from financing	(90,119)	(87,675)	(64,940)	(39,215)	(120,384)
Increase in L/T debt	0	60	50,000	50,000	50,000
Increase in S/T debt	(1,260)	0	0	0	0
Cash Dividend Paid	(87,551)	(86,070)	(114,940)	(89,215)	(170,384)
Dir& Emp Bonus Paid	0	0	0	0	0
Issuance of stock	0	0	0	0	0
Other adjustments	(1,309)	(1,665)	0	0	0
Exchange rate adjustment	0	0	0	0	0
Net change in cash	30,008	37,364	-104,203	33,614	-47,013

Balance Sheet

NT\$m (Years End Dec)	2024	2025	2026e	2027e	2028e
Cash	203,696	235,290	131,087	164,701	117,688
Mkt Securities	15,928	12,419	12,419	12,419	12,419
AR/NR	44,713	62,121	77,978	122,019	228,349
Inventory	58,414	67,235	91,508	150,506	299,428
Other	28,274	20,392	13,520	21,156	39,592
Current Assets	351,025	397,456	326,512	470,800	697,476
Long-term investments	169,970	168,912	168,912	168,912	168,912
Fixed assets	56,917	60,427	65,427	70,427	75,427
Other assets	119,955	116,990	181,821	284,511	532,442
Total Assets	697,868	743,785	742,672	994,650	1,474,256
S/T borrowings	940	940	940	940	940
AP/NP	40,777	48,710	59,763	98,294	195,555
Other ST liabilities	225,186	253,700	171,148	186,189	216,552
LT debt	2,681	6,795	6,795	6,795	6,795
Other LT liabilities	23,228	24,444	24,444	24,444	24,444
Total Liabilities	292,812	334,590	263,091	316,663	444,287
Common shares	16,017	16,039	16,039	16,039	16,039
Retained earning	331,543	354,139	465,657	678,637	1,125,529
Other shareholders' equity	57,495	39,017	(2,115)	(16,689)	(111,599)
Total Equity	405,055	409,195	479,581	677,987	1,029,970
Total Liab. & Shrhldr's Equity	697,868	743,785	742,672	994,650	1,474,256

Financial Ratios

	2024	2025	2026e	2027e	2028e
Growth(%)					
Turnover	22.4	12.3	10.1	56.5	87.1
Operating profits	42.6	1.0	10.6	107.1	116.8
Pretax profits	37.7	0.0	9.2	93.2	109.8
Net profits	38.8	-6.0	10.9	90.6	109.8
EPS	38.1	-6.1	11.5	91.0	109.8
Margins (%)					
Gross Margin	49.6	47.5	45.2	42.4	38.7
Operating Margin	19.3	17.4	17.5	23.1	26.8
Pretax Margin	22.5	20.1	19.9	24.6	27.5
Net Profit	20.1	16.8	17.0	20.8	23.3
Return (%)					
ROAA	16.0	13.9	15.0	24.5	36.2
ROAE	27.3	24.5	25.1	36.8	52.3
Gearing (%)					
Net Debt/Equity	(50.1)	(57.3)	(27.1)	(24.2)	(11.3)
Liabilities/Equity	72.3	81.8	54.9	46.7	43.1
Ratios (X)					
Current ratio	1.3	1.3	1.4	1.6	1.7
Quick ratio	0.9	1.0	0.9	1.0	0.8
Others					
AR/NR Turnover (days)	43	43	43	43	43
Inventory Turnover (days)	92	92	92	92	92
AP Turnover (days)	60	60	60	60	60
Cash Conversion (days)	75	75	75	75	75

e = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Valuation Methodology and Risks

MediaTek (2454.TW)

Base case, residual income model. Key assumptions: cost of equity 9.2%, intermediate growth rate 12.0%, terminal growth rate 3.0%.

Risks to Upside

- Edge AI proliferates smartphone replacement cycle.
- Smartphone demand rises in China and other EMs.
- New products attract high demand, resulting in market share gains.
- Google's TPU spurs demand.

Risks to Downside

- Smartphone demand deteriorates in China and other EMs.
- Competition heats up, resulting in pricing competition.
- New products attract low demand, causing market share loss.
- Margin dilution is more severe.

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Charlie Chan; Daisy Dai, CFA; Tiffany Yeh; Daniel Yen, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: ACM Research Inc, Advanced Micro-Fabrication Equipment Inc, Advanced Wireless Semiconductor Co, Alchip Technologies Ltd, AllRing Tech Co., AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMPT Ltd, Aspeed Technology, Cambricon Technology Corporation, Global Unichip Corp, GlobalWafers Co Ltd, Gudeng Precision, Hon Precision, Hua Hong Semiconductor Ltd, JCET Group Co Ltd, King Yuan Electronics Co Ltd, Macronix International Co Ltd, Montage Technology Co Ltd, MPI Corporation, Nanya Technology Corp., NAURA Technology Group Co Ltd, Novatek, Nuvoton Technology Corporation, Phison Electronics Corp, Realtek Semiconductor, SG Micro Corp., Shanghai Fudan Microelectronics, Silergy Corp., Silicon Motion, TSMC, UMC, Vanguard International Semiconductor, WIN Semiconductors Corp, Winbond Electronics Corp, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Montage Technology Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from ASMPT Ltd, Montage Technology Co Ltd.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advanced Micro-Fabrication Equipment Inc, Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Hua Hong Semiconductor Ltd, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, Macronix International Co Ltd, **MediaTek**, Montage Technology Co Ltd, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, Shenzhen Longsys Electronics Co Ltd, Silergy Corp., Silicon Motion, TSMC, UMC, Vanguard International Semiconductor, Winbond Electronics Corp, WinWay Technology Co Ltd, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from ASE Technology Holding Co. Ltd., King Yuan Electronics Co Ltd, **MediaTek**, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advanced Micro-Fabrication Equipment Inc, Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Hua Hong Semiconductor Ltd, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, Macronix International Co Ltd, **MediaTek**, Montage Technology Co Ltd, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, Shenzhen Longsys Electronics Co Ltd, Silergy Corp., Silicon Motion, TSMC, UMC, Vanguard International Semiconductor, Winbond Electronics Corp, WinWay Technology Co Ltd, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: ASE Technology Holding Co. Ltd., King Yuan Electronics Co Ltd, **MediaTek**, Montage Technology Co Ltd, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

Morgan Stanley & Co. LLC makes a market in the securities of ACM Research Inc, Himax Technologies Inc, Silicon Motion.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management,

commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

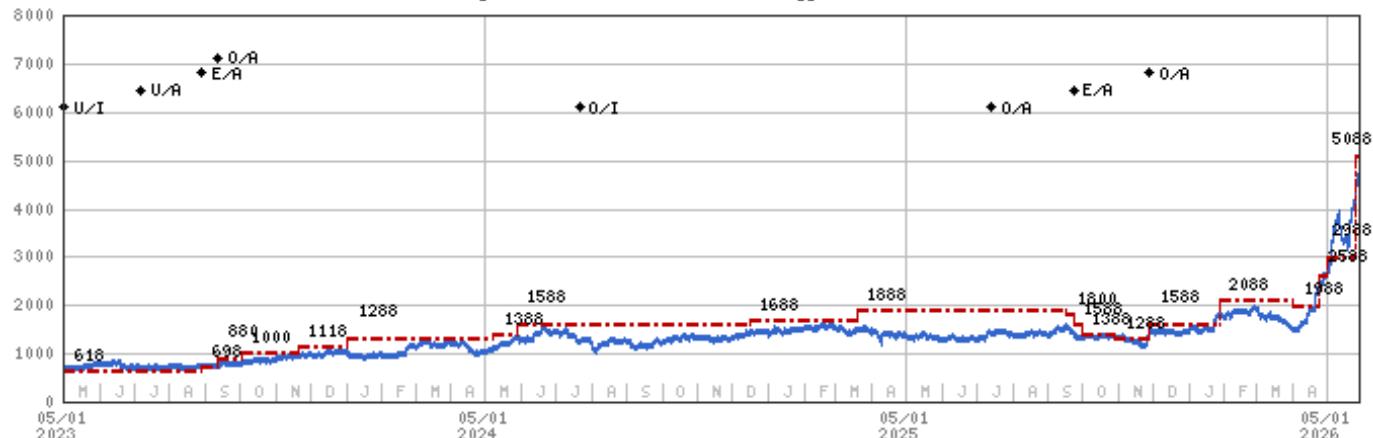
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

MediaTek (2454.TW) - As of 05/28/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 5/1/21 : O/I; 10/12/21 : O/C; 10/4/22 : O/A; 12/16/22 : E/A; 2/22/23 : E/I; 4/18/23 : U/I; 7/7/23 : U/A; 8/29/23 : E/A; 9/12/23 : O/A; 7/21/24 : O/I; 7/14/25 : O/A; 9/23/25 : E/A; 11/28/25 : O/A

Price Target History: 4/29/21 : 1380; 5/20/21 : 1280; 10/26/21 : 1320; 1/27/22 : 1380; 3/28/22 : 1280; 7/12/22 : 880; 9/23/22 : 800; 12/16/22 : 698; 12/28/22 : 649; 4/6/23 : 645; 4/18/23 : 618; 8/29/23 : 698; 9/12/23 : 880; 10/2/23 : 1000; 11/20/23 : 1118; 1/2/24 : 1288; 5/8/24 : 1388; 5/28/24 : 1588; 12/16/24 : 1688; 3/19/25 : 1888; 9/17/25 : 1800; 9/23/25 : 1588; 9/30/25 : 1388; 10/29/25 : 1288; 11/28/25 : 1588; 1/27/26 : 2088; 4/1/26 : 1988; 4/23/26 : 2588; 5/1/26 : 2988; 5/26/26 : 5088

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FCO118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 14-9169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital

Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of ASMPT Ltd, Hua Hong Semiconductor Ltd listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/28/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$88.64
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb453.12
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$165.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,300.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$627.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,391.50
Global Unichip Corp (3443.TW)	E (05/28/2026)	NT\$4,590.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$927.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$535.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$170.00
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$546.50
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$320.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb117.09
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,410.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb699.70
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$324.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb659.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb101.90
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,450.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb121.50
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$620.00
SMIC (0981.HK)	O (10/21/2025)	HK\$88.25
TSMC (2330.TW)	O (02/07/2022)	NT\$2,295.00
UMC (2303.TW)	O (05/19/2026)	NT\$142.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$161.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$528.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$199.70
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb69.80
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$161.00
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb128.58
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb38.44
Innoscence (2577.HK)	E (10/13/2025)	HK\$75.55
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb84.74
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$35.50
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb163.55
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb143.00
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb86.30
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb44.00
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb114.30

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$1,095.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,440.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,835.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$125.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb179.13
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb483.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$160.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$458.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb260.98
Novatek (3034.TW)	U (02/04/2026)	NT\$478.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$188.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$845.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$80.70
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$594.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb66.09
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$144.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$121.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$289.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb147.80
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb548.01

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,240.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$815.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$20.65
Hon Precision (7769.TW)	O (04/17/2026)	NT\$7,700.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,915.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$284.98
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$9,120.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.